SIPHER STREET
INVESTMENT FUND

Equity Research
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Intuit Inc.

Industry Overview

Intuit sits at the nexus of consumer tax preparation, small and mid-market business financial software, and consumer financial services, three verticals united by a common structural feature: regulatory and data complexity creates high barriers to entry, and scale advantages compound with each incremental user. The U.S. tax code alone runs to roughly 10,000 pages of statute and over 70,000 pages of regulation, QuickBooks commands an estimated 62% share of U.S. SMB accounting software, and the embedding of AI into financial workflows is accelerating the advantage of incumbents with proprietary data assets over new entrants attempting to replicate compliance engines from scratch.

Business Overview & Revenue Engine

Intuit serves approximately 100 million customers worldwide through QuickBooks (cloud accounting, payroll, payments for SMBs), TurboTax (DIY and AI-assisted tax preparation), Credit Karma (a personal finance marketplace matching consumer with credit and insurance products), and Mailchimp (email marketing). The Global Business Solutions Group generates the majority of revenue and is shifting from desktop licences to cloud subscriptions, with Intuit Enterprise Suite extending the company's reach into mid-market businesses that historically relied on legacy ERP systems. TurboTax Live is moving the consumer tax base from low-cost DIY into higher-value assisted filings, taking share from the much larger human-prepared tax market, while Credit Karma's integration with TurboTax income data and QuickBooks cash flow data creates a proprietary underwriting signal no standalone fintech can replicate.

We frame the revenue engine through three compounding mechanisms: customer acquisition via a multi-entry-point model where consumers, sole traders, and accountants each enter at deliberately low price points designed to maximise top-of-funnel volume; ARPC expansion as customers attach payroll, payments, lending, and higher-value service tiers over time; and cross-platform monetisation via a shared data graph spanning income, credit, cash flow, and marketing engagement that enables personalisation and risk assessment no single-product competitor can approximate. Each mechanism is self-reinforcing, and in combination they produce a compounding flywheel that is structurally difficult to replicate.

2026 Q2-Q4 Trajectory

Q2 delivered a clean beat across every business line, with GBS posting 18.5% growth on accelerating IES momentum and TurboTax growing 12% against IRS returns that were down 5%, an early and important signal of category share gains. Management reiterated full year guidance of 12 to 13% despite the beat, consistent with Intuit's practice of holding guidance through the tax quarter. Q3 is the decisive period and the setup is favourable: TurboTax Live's expanded local footprint, growing assisted category adoption, and OBBB-related tax complexity that historically drives demand for expert assistance all support upside to guided segment growth, while AI disruption fears that have compressed the multiple appear structurally overblown given the stickiness of data integrations, the trust premium in tax, and Intuit's own OpenAI partnership. Into Q4, Credit Karma faces tougher comps but underlying issuance trends remain supportive, IES should continue to build, and the broad sell-side view is that the current derating reflects sector sentiment rather than fundamental deterioration.

Equities

United States
Software

18-month rating	**Buy**
18m price target	**$ 603.69**
Current Price	**$ 469.46**
Upside/(Downside)	**28.6%**
TICKER (BBG):	INTU US

Trading data and key metrics

52-wk range	$ 349.00-813.70
Market cap	$ 133.07b
Shares o/s	276.55m
Free float	97.9%
AVG. Daily Volume (L3M)	3.00m
Beta	1.23
EV / EBITDA (FY0)	15.04
P / E (FY0)	20.65

Estimates

FY (July)	2025A	2026E	2027E
Adj. EBITDA			
Q1	1373.0A	1541.0E	1688.0E
Q2	1680.0A	1885.0E	2065.0E
Q3	4751.0A	5330.0E	5839.0E
Q4	1508.0A	1691.0E	1853.0E
Year	9312.0A	10447.0E	11445.0E

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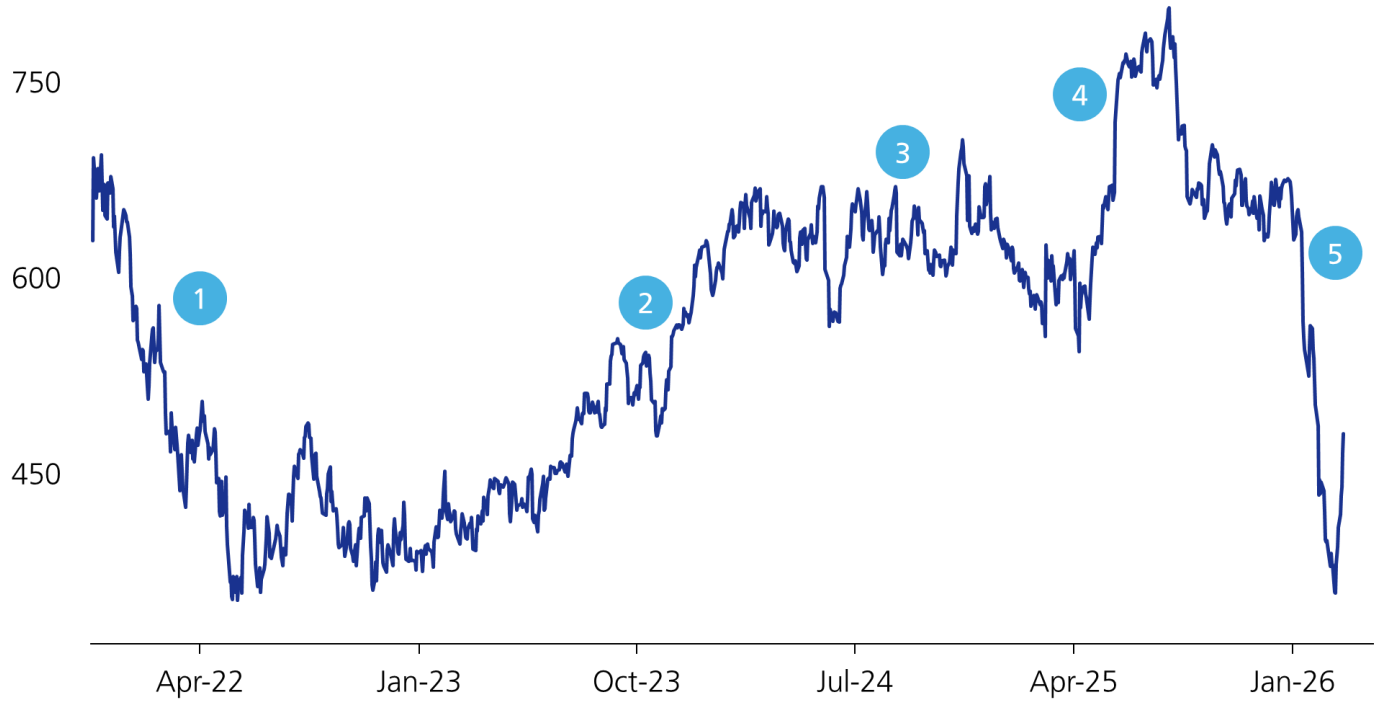
Intuit Inc. 5-year Annotated Stock Chart ($USD)



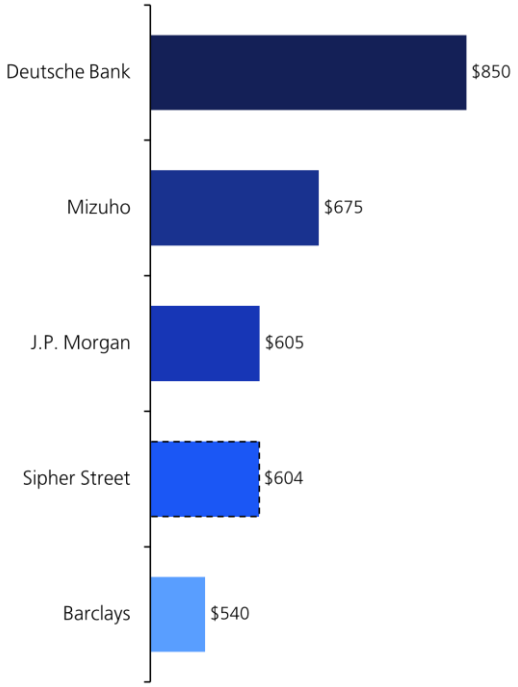
1. This first drawdown was mainly a macro derating, not a collapse in Intuit's fundamentals. The stock entered late 2021 on premium software multiples after FY2021 revenue rose 41%, helped by Credit Karma and Mailchimp, but inflation, a hawkish Fed, and rising yields then drove a sharp reset across long duration software. Intuit did not report a company specific breakdown large enough to explain the move on its own. The stock simply traded as a premium software asset in a market that was aggressively compressing valuations.
2. The recovery began when the market stopped treating every software name as a rates trade and started rewarding execution again. Intuit then delivered what investors needed, with Q1 FY23 revenue growth of 29%, a full year raise in May 2023, and FY23 revenue growth of 13% by August, while Small Business and Self-Employed revenue rose 24%. That shifted the narrative away from tax season volatility and toward a broader financial software platform with recurring growth. In simple terms, 2023 was not just a rebound from oversold levels, it was a re-rating backed by numbers.
3. The 2024 stock action was largely a consolidation year. Operating performance stayed healthy, with Q2 FY24 revenue up 11% and QuickBooks Online Ecosystem growth remaining strong, but the market was balancing that against concerns around IRS Direct File, low end TurboTax share pressure, and whether growth could reaccelerate meaningfully. Intuit also disclosed roughly 1 million fewer pay nothing TurboTax users, even though higher value filers and better mix still supported revenue. So, the shares moved sideways because good execution was offset by policy noise, AI investment questions, and a market that wanted a cleaner next leg of growth.
4. The early 2025 dip was more about expectations than fundamentals. Intuit beat in the November quarter, but the market had leaned into a stronger raise and instead got guidance that was broadly in line, which triggered a reset. What changed after that was evidence. Q2 FY25 showed 19% Global Business Solutions growth, 21% Online Ecosystem growth, and 36% Credit Karma growth, then Q3 FY25 delivered a very strong tax season, with TurboTax Live up 47%, paying units up, and ARPR improving as mix shifted toward assisted and faster refund products. By August 2025, investors were looking at 20% Q4 growth and 16% full year growth, which explains why the stock rallied so hard into the peak.

5. The selloff after the August 2025 peak was driven less by a real deterioration in Intuit's earnings power and more by a reset in software sentiment. FY26 guidance was read as cautious, with Global Business Solutions held back by a larger than expected Mailchimp drag, even though management still pointed to encouraging mid-market trends and a stronger tax and Credit Karma outlook. That framing then collided with a broader fear that AI could compress the value of software businesses tied to search, tax preparation, and SMB workflows. In early 2026, the weakness was an AI disruption scare hitting SaaS broadly, with investors questioning the future of TurboTax while worrying that Mailchimp's recovery was taking longer than hoped. We think that phase should fade because the operating signals are moving the other way: H1 FY2026 points to expanding local search presence, a full season with 600+ offices, refund and complexity tailwinds from OBBB, continued assisted tax adoption, and strength in QuickBooks online services and mid-market workflows. If tax season closes well and the market starts to see AI as a tool that improves conversion and expert productivity rather than disintermediating the workflow, the stock should keep recovering.

Event Type

We classify Intuit as a longer-term catalytic compounder with a defined monetisation window. The business compounds through ARPC expansion across an installed base of over 100 million customers and TAM extension via TurboTax Live and IES, both of which are in early innings and carry structurally higher revenue per customer than the legacy base. Value creation is endogenous to the business model, but we identify a specific inflection window: by Q3 FY2027, the market will have observed two full tax seasons post-OpenAI integration, sustained IES scaling through accounting partnerships, and a Credit Karma base that has lapped its reacceleration comps, providing sufficient evidence for the market to re-adjust for durability and re-rate the multiple. Our plan is to hold through this window and begin exiting soon after Q3 FY2027, by which point the thesis should be substantially de-risked and reflected in the share price.

Sell Side Analyst Estimates

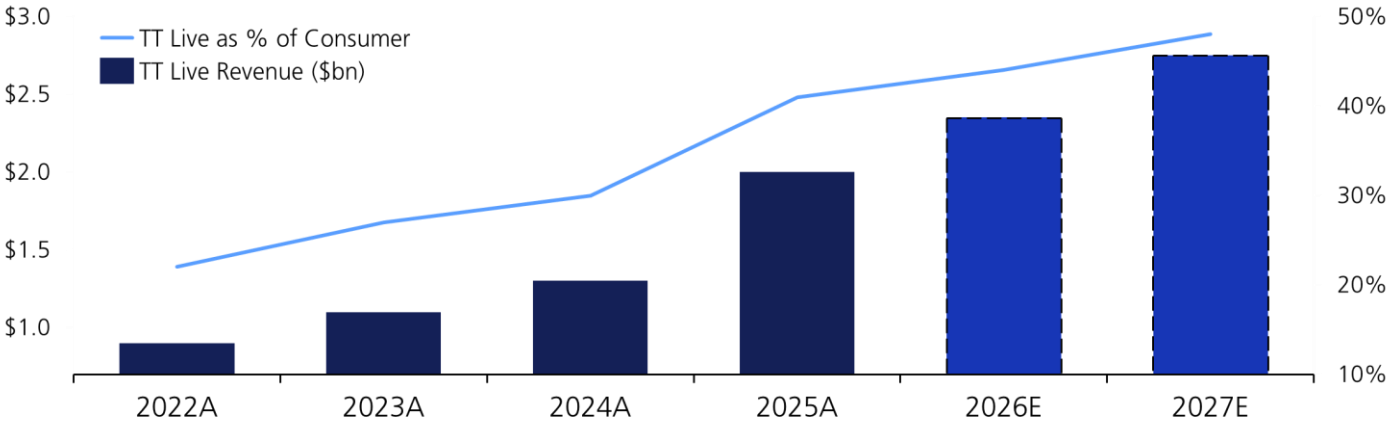


Investment Thesis

The market is pricing Intuit as a mature software incumbent facing existential disruption from generative AI, with the stock down approximately 40% from its December 2025 highs. We see the opposite. Intuit is not a static compliance tool waiting to be disrupted; it is an AI-native platform with a proprietary data graph spanning 100 million customer relationships across income, credit, cash flow, and commerce, a dataset that no general-purpose LLM can replicate. AI is not the threat to Intuit's moats; it is the mechanism through which those moats are widening, and the FY2025 results, where TurboTax Live revenue surged 47% precisely because AI-enabled experts delivered a superior experience, provide direct empirical evidence. The result is a business compounding revenue at mid-teens rates with an expanding margin profile, trading at a meaningful discount to its own history and the large-cap software peer set.

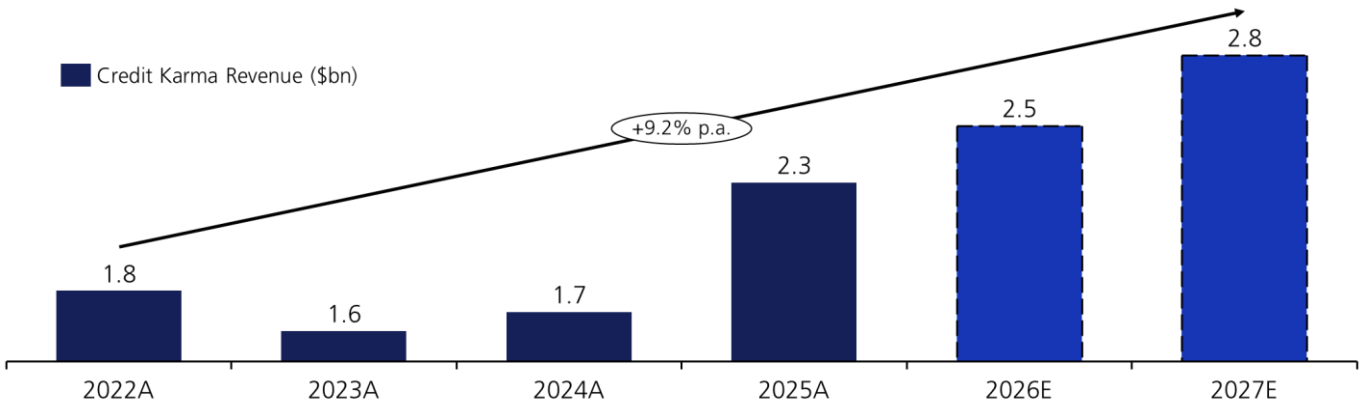
1. TurboTax Live Reshapes the Consumer Tax TAM

Intuit's consumer tax business has historically been viewed as a defensive, low-growth franchise anchored to roughly 150 million annual U.S. tax filings. That framing misses the most important strategic shift underway: TurboTax Live is converting Intuit from a DIY software vendor into an AI-augmented service platform attacking the approximately $22 billion assisted tax category, where Intuit's penetration is still less than 1%. A customer moving from a DIY return to a full-service return represents a roughly 4x revenue uplift per filer, and the AI agent layer creates operating leverage that a traditional CPA practice cannot match. TurboTax Live revenue reached $2.0 billion in FY2025, growing 47% and representing 41% of Consumer Group revenue, up from approximately 30% in FY2024. In our in-house model, this assisted migration is a key driver of the service revenue compounding trajectory through FY2031E.



2. The Integrated Financial Platform Compounds and Widens the Moat

Intuit now possesses the only integrated financial platform in the consumer and SMB ecosystem, connecting tax returns and income data, credit profiles and financial product preferences, business cash flow and transaction history, and marketing engagement and customer behaviour across a single proprietary dataset. This platform enables Credit Karma to deliver higher conversion rates than any standalone fintech, TurboTax to cross-sell financial products at the moment of maximum consumer engagement, and QuickBooks to underwrite small business lending with proprietary cash flow signals. Credit Karma's reacceleration from 5% growth in FY2024 to 32% in FY2025 is direct evidence of the flywheel compounding as the enriched dataset improves lead quality for financial product partners. Each additional customer on any entry point enriches the data available to every other product, creating a self-reinforcing loop that raises switching costs and deepens the moat with every cycle. In our DCF, this cross-platform monetisation is reflected in the margin expansion path through FY2031E, as incremental revenue from data-driven services carries near-zero marginal cost.



3. IES Extends QuickBooks Into the Mid-Market

The launch of Intuit Enterprise Suite extends the QuickBooks platform from micro-businesses into the millions of U.S. mid-market businesses that have historically been served by NetSuite, Sage Intacct, or fragmented legacy ERP systems. The ARPC for an IES customer runs at multiples of the core QBO base, meaning each incremental mid-market win has an outsized impact on blended revenue per customer, and the accounting partnership channel, where Intuit leverages its ProTax relationships to drive adoption through trusted advisors, creates a distribution advantage that pure-play competitors lack. Mid-market online ecosystem revenue grew approximately 40% year over year in FY2025, and IES contracts increased 50% quarter on quarter in Q2 FY2026, early confirmation that the land-and-expand model is gaining traction from a dominant 62% SMB market share position. In our base case, this mid-market momentum is a primary contributor to the sustained ARPC expansion that underpins the GBS revenue trajectory across the forecast period.

Catalysts

- OBBB can lift both conversion and monetization: The most important macro catalyst is the 2026 tax regime itself. We believe OBBB can push average refunds materially higher because withholding tables were not reset while new deductions were introduced for tips, overtime, auto loan interest, and SALT. Their work points to a roughly 25% increase in average refunds, or about 750 dollars. Bigger refunds tend to improve filing conversion and earlier season engagement, but the more powerful effect is likely psychological: tax rules feel more complex, and that tends to push filers toward expert help and faster money products at the same time.
- A steadier small business regime would unlock a rerating: If the small business backdrop shifts from merely resilient to clearly constructive, Intuit should rerate quickly. We spot flat SMB optimism, business formation still above pre-pandemic levels, and continued strength in upmarket QuickBooks and IES. The broader macro work also flags a more supportive 2026 growth outlook and a better investment environment tied to tax cuts and AI productivity. That setup is especially important because the part of Intuit that the market discounts most today is the duration of GBS growth, not the quality of the franchise itself.
- Local search and expert capacity can convert a bigger assisted pool: The local expert build out is a company action, but the catalyst is really a change in market access and customer behaviour. We believe assisted filers are 5x more likely to book with a local tax professional within 50 miles, and Intuit is now entering the season with 20 TurboTax stores and 600 expert offices, up 50% from last year. That matters because assisted remains the biggest underpenetrated pool, and this is the first season where the local footprint, full service promotion, and faster refund offers are all working together from day one. If conversion improves, the stock can move materially on mix alone.

Risks

- A weaker SMB backdrop would hit a key growth leg: The clearest macro risk is a real deterioration in small business activity. We believe that if conditions worsen, Payments and Payroll would be the first parts of the model to feel it. Moreover, worsening macro conditions are a direct downside risk because Intuit's customer base is heavily exposed to small business spending, modernization budgets, and transaction activity. If that backdrop rolls over, the market will question both growth durability and mix quality at the same time.
- The real AI risk is not share loss, it is mix loss: The most interesting risk point is that the underappreciated AI threat is not that a new entrant takes the DIY market overnight. It is that sufficiently capable AI makes some users comfortable enough to trade down from assisted products into cheaper DIY workflows. That would be painful because the bull case is built on richer ARPU mix, not just on maintaining brand share. Intuit could still remain the category leader and yet disappoint if the assisted migration stalls.
- Consumer credit tightening would pressure the ecosystem beyond tax: Credit Karma gives Intuit useful year-round reach, but it also imports macro sensitivity. We flag credit market contraction as a formal downside risk because tighter lending conditions and weaker personal loan demand can create revenue volatility and drag on shares. That matters more than it first appears because Credit Karma is not just an earnings contributor. It is also part of the funnel that supports faster money, cross sell, and broader ecosystem monetization.

S.W.O.T Analysis

Strengths:	**Weaknesses:**
1. Dominant 62% SMB accounting share with deep accountant network effects 2. TurboTax Live driving 4x revenue uplift per filer conversion 3. Integrated data graph across 100M customers enabling cross-platform monetisation	1. Mailchimp underperforming with recovery pushed beyond FY2026 2. Heavy Q3 tax season concentration generating over half of annual EBITDA 3. High SBC at ~10% of revenue diluting GAAP earnings
Opportunities:	**Threats:**
1. IES extends QuickBooks into $89bn mid-market TAM at multiples of core ARPC 2. TurboTax Live penetrates $22bn assisted tax market at <1% share today 3. Anthropic and OpenAI partnerships embed products into AI-native distribution	1. General-purpose LLMs replicating simple tax filings and compressing DIY pricing 2. Macro-driven credit tightening reducing Credit Karma lead generation yields 3. IRS Direct File expansion providing free government-sponsored alternative

Competitive Positioning & Peer Analysis

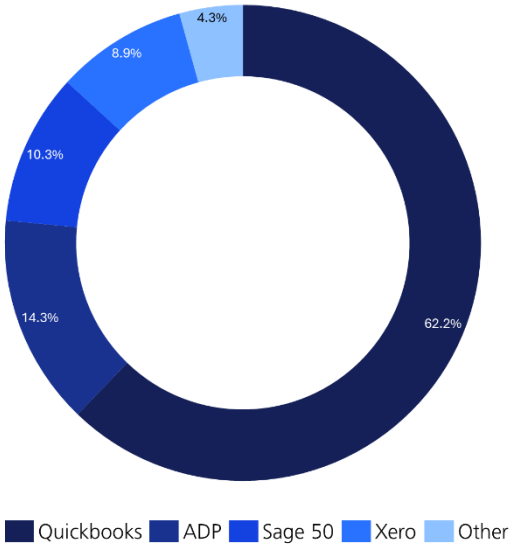
Intuit's moat is best understood by examining how each principal peer is structurally disadvantaged across at least one dimension that Intuit dominates. In consumer tax, H&R Block generated $3.8 billion in FY2025 revenue growing 4.2% and guided FY2026 essentially flat in real terms, while continuing to lose assisted category market share. The contrast is structural: where H&R Block is attempting to digitise a 12,000-office legacy footprint, Intuit is deploying AI agents into a digitally native platform that scales without proportional labour costs; TurboTax Live grew 47% to $2.0 billion while H&R Block's entire DIY segment grew 9.7%. In small business accounting, Xero is the most credible challenger at approximately $1.2 billion in FY2025 revenue growing 23%, but its position is geographically constrained with less than 4% U.S. share against QuickBooks' 62%, subscriber growth decelerating with net additions down 39% year over year, and critically, no consumer tax product, no credit marketplace, and no cross-platform data advantage. At the mid-market tier, Intuit Enterprise Suite competes against NetSuite and Sage Intacct but can upsell its existing 7.5 million QBO customers and leverage its ProTax accountant network as a referral channel, whereas competitors must acquire mid-market customers from scratch at significantly higher acquisition costs.

In consumer financial services, Credit Karma's integration with TurboTax income data and QuickBooks cash flow data gives it a conversion advantage that no standalone marketplace can replicate: NerdWallet, the closest public comparable at $758 million in FY2024 revenue, operates without any proprietary financial data on its users beyond browsing behaviour, which is why Credit Karma reaccelerated to 32% growth in FY2025 while NerdWallet decelerated. The net assessment is that Intuit faces credible competitors in each individual vertical, but no single competitor can match its integrated platform breadth; H&R Block cannot replicate the QuickBooks data graph, Xero cannot replicate Credit Karma or TurboTax, and NerdWallet cannot replicate the proprietary income and cash flow signals. This platform asymmetry is the fundamental reason Intuit trades at a premium to each of these peers, and our view is that the current derating has compressed that premium to a level that does not reflect the structural advantage.

Valuation; DCF Methodology

We anchor fair value on our in-house DCF and use forward trading multiples only as a reasonableness check against the peer set. On this basis, Intuit screens as a compelling risk/reward at current levels: our base case implies a blended fair value of approximately $604 per share, representing roughly 29% upside from today's price of $469, with the model driven primarily by service revenue compounding through the TurboTax Live assisted migration, mid-market ARPC expansion via IES, and operating leverage as AI-driven efficiency gains flow through cost of revenue and selling and marketing rather than any speculative TAM assumption. The scenario analysis frames the asymmetry on the right. Upside is a function of the pace at which TurboTax Live penetrates the assisted tax category and the speed of IES adoption in the mid-market, while downside is principally a question of whether AI disruption compresses Intuit's pricing power faster than the platform can adapt, a scenario we view as structurally mispriced given the empirical evidence from FY2025.

U.S. SMB Accounting Software Market Share (2025)



INTU DCF Analysis

Implied price / Upside:	
Base case	$603.69 / 28.6%
Bull Case	$812.75 / 73.4%
Bear Case	$421.03 / (10.3%)

Base Case Assumptions

The base case DCF is an unlevered FCFF model with an explicit forecast through FY2031E, built to keep the valuation anchored to the cash earnings power implied by our operating drivers rather than aggressive terminal assumptions. In the in-house model, total revenue grows from $18.8 billion in FY2025A to $20.8 billion in FY2026E (10.5% growth, conservatively below the guided 12 to 13%) and compounds to $31.3 billion by FY2031E at a 7.1% terminal year growth rate, with the trajectory driven by service revenue growing at 12% in FY2026E decelerating to 8% by FY2031E as the TurboTax Live and IES growth vectors mature. EBIT margins expand from 29.6% in FY2025A to 30.0% in FY2026E and widen to 34.4% by FY2031E, reflecting the natural operating leverage inherent in a software platform where incremental AI-assisted tax filings, QuickBooks subscriptions, and Credit Karma matches carry near-zero marginal cost; cost of revenue declines from 19.6% to 18.3% of sales while selling and marketing compresses from 26.7% to 24.8% over the forecast period. The margin path is deliberately conservative relative to non-GAAP operating margins already printing north of 40%, to build in execution risk around the mid-market transition and the integration of AI across the platform. Unlevered free cash flow grows from $4.8 billion in FY2026E to $9.5 billion by FY2031E, with UFCF margins expanding from 22.9% to 30.5%.

For terminal value, we apply an 18x EV/EBITDA exit multiple to FY2031E EBITDA of $11.8 billion and cross-check against the implied perpetuity growth rate as a governance mechanism. The 18x terminal multiple sits at a discount to the current large-cap software peer median and at a meaningful discount to where Intuit has traded through 2024 and 2025, which we view as appropriate for a business that will still be compounding at high-single-digit rates in the terminal year. The implied perpetuity growth rate of approximately 3.7% is defensible given the terminal year represents a still-growing, high-margin platform rather than a mature cash cow. Discounting explicit period cash flows at our WACC of 8.28%, derived from a CAPM cost of equity of 8.48% (risk-free rate of 4.13%, equity risk premium of 3.45%, beta of 1.26) blended with an after-tax cost of debt of 3.90% on $6.0 billion of outstanding debt, and netting $2.9 billion of balance sheet cash against debt, produces an exit multiple implied share price of $612 and a perpetuity growth implied share price of $595. We weight the two methods equally, producing a blended implied share price of $604.

Bull Case Assumptions

The bull case captures an outcome where the structural tailwinds we identify in the base case materialise faster than our conservative assumptions imply. H1 FY2026 is already tracking at 17.5% total revenue growth against the guided 12 to 13%, TurboTax grew 12% in Q2 against IRS returns that were down 5%, and the Anthropic AI partnership announced in Q2 FY2026 adds a capability layer whose revenue contribution is not yet in any estimate. On the mid-market, IES contracts grew 50% quarter on quarter in Q2 with ARPC at approximately $27,000 per contract versus core QBO at roughly $600, and the accounting partnership channel is entering an acceleration phase that could sustain this momentum through FY2027. On Credit Karma, the distribution agreement embedding Credit Karma within ChatGPT's 800 million weekly users provides an incremental acquisition channel with no precedent in the company's history. Service revenue in this scenario grows at 15% in FY2026E decelerating to 11% by the terminal year, cost of revenue compresses to 17.2% of sales by FY2031E as AI automation reduces the human expert cost per filing, and EBIT margins reach approximately 37%. We apply a 20x terminal EV/EBITDA exit multiple, intentionally tighter than the base to avoid double-counting the upside embedded in faster growth. The bull case produces an implied share price of approximately $812.75, or roughly 73.1% upside from today.

Bear Case Assumptions

The bear case forecasts a scenario in which the AI disruption narrative proves partially correct: general-purpose LLMs become sufficiently capable at handling simple to moderate tax filings that a cohort of DIY filers who would otherwise have upgraded to TurboTax Live instead opt for a free alternative, slowing the assisted migration that drives our base case. Concurrently, the mid-market push encounters stiffer resistance as NetSuite and Sage Intacct respond with aggressive pricing, the accounting partnership channel ramps more slowly than early results suggest, and the 40% mid-market revenue growth observed in FY2025 normalises to low teens as early adopters are absorbed. On Credit Karma, tightening credit conditions reduce personal loan and credit card approval rates, compressing cost-per-acquisition yields, a dynamic that played out in FY2023 when Credit Karma revenue declined 9%. R&D intensity remains elevated at 15.8 to 16.2% of revenue as Intuit is forced to accelerate AI investment to defend its position, and selling and marketing stays flat as competitive pressure in the mid-market requires sustained go-to-market spending. Service revenue decelerates to 9% in FY2026E fading to 5.5% by the terminal year, EBIT margins settle at roughly 31%, and we apply a 17x terminal EV/EBITDA multiple. The bear case produces an implied share price of approximately $421.03, or roughly 10.3% downside from today. That the bear case is essentially flat at current levels underscores the favourable skew: even a meaningfully adverse competitive outcome is broadly priced in at today's valuation.